



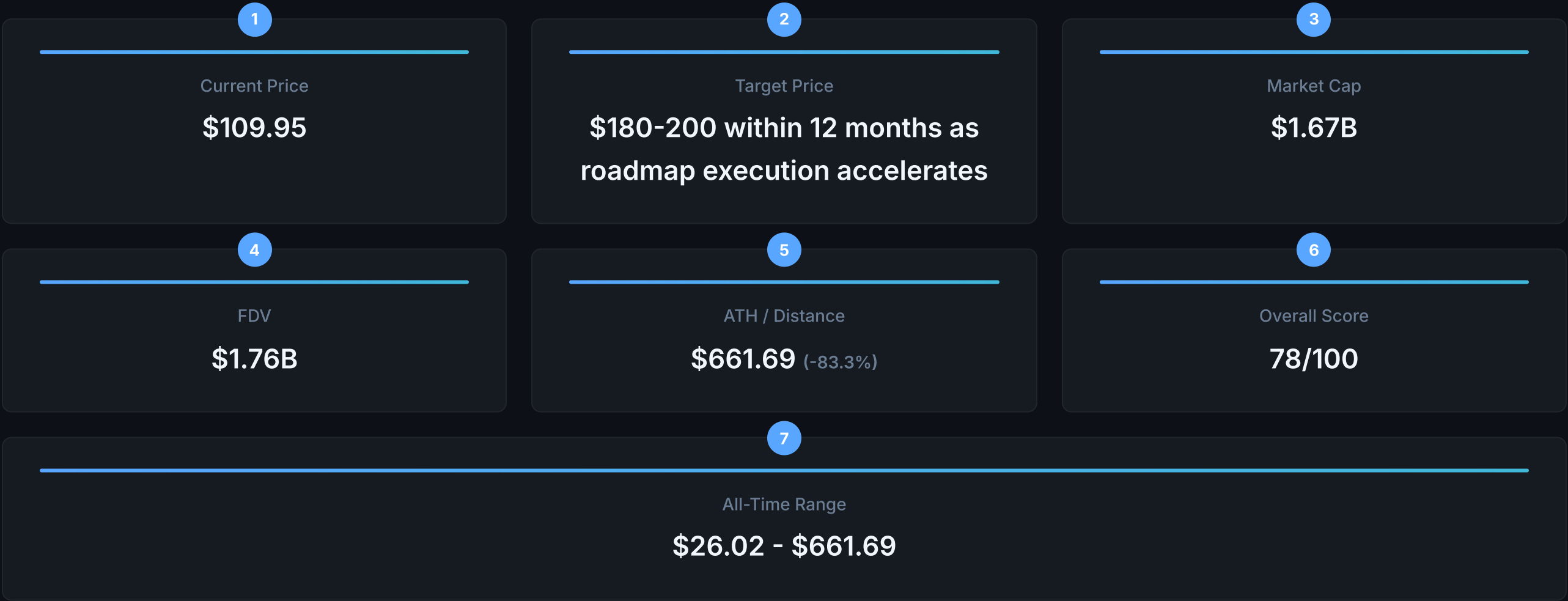
Aave | \$AAVE | Decentralized Finance (DeFi), Yield Farming | Avalanche

BUY

\$180-200 within 12 months as roadmap execution accelerates Target (65-80% upside potential)

02.10.2026

1. Scoreboard (Quick Stats)



Market-leading TVL at \$27.5B with stable fundamentals offset by governance friction and price momentum concerns

Category Scores

Price Chart & Trading Levels



TradingView chart - 90 days

ENTRY ZONE

\$105.0375 -
\$114.8625

STOP LOSS

\$84.4050

TAKE PROFIT TARGETS

TP1: \$139.4250

TP2: \$159.0750

TP3: \$168.9000

RISK:REWARD

1:2.3

SUPPORT LEVELS

\$80.4750

\$60.8250

RESISTANCE LEVELS

\$661.6900

\$385.8200

\$139.4250

2. Monthly Changes



Price Action

AAVE declined 34% monthly to \$109.95, trading 83% below ATH of \$661.69. The selloff reflects broader DeFi weakness and governance disputes, creating attractive entry levels for institutional buyers.



TVL / Protocol

TVL remains robust at \$27.5B despite 4.9% weekly decline, demonstrating sticky institutional adoption. The protocol maintains dominant market share in decentralized lending with diversified multi-chain deployment.



Volume & Liquidity

Daily volume of \$327M reflects healthy liquidity despite price pressure. Trading activity remains elevated as institutional flows continue supporting the ecosystem through market volatility.



Community & Holders

Strong holder base of 719K addresses with 4,103 active weekly users. Telegram community of 19K reflects engaged retail participation alongside institutional adoption.



Development Activity

Zero commits in 4 weeks raises concerns about development momentum ahead of critical V4 upgrade. This technical pause may reflect strategic planning rather than abandonment given roadmap commitments.



Strategic Updates

2026 Master Plan unveiled targeting V4 upgrade, \$1B+ RWA platform, and 1M mobile users. Governance tensions over revenue sharing resolved but highlight execution risks for ambitious roadmap.

4. Team & Development

Team & Founders

Doxxed**DeFi Pioneer****Institutional**

Stani Kulechov stands as one of DeFi's most experienced and credible founders, having pioneered P2P lending through ETHLend in 2017 before evolving into today's institutional-grade Aave protocol. His legal background from University of Helsinki combined with eight years of DeFi development provides rare expertise.

Recognition in Cointelegraph Top 100 and CoinDesk Most Influential validates his industry standing. The expansion into Lens Protocol post-Twitter ban demonstrates innovation beyond lending. However, single-founder dependency remains a structural risk.

- > Founders Doxxed: **Yes**
- > Team Size: **medium**
- > Key Members: **Stani Kulechov (Founder/CEO)**
- > Previous Projects: **ETHLend, Lens Protocol**

Development Activity

**1076**

STARS

**726**

FORKS

**0**

COMMITTS/4W

**26**

CONTRIBUTORS

Commit Activity (52 weeks)

0 commits (52w)

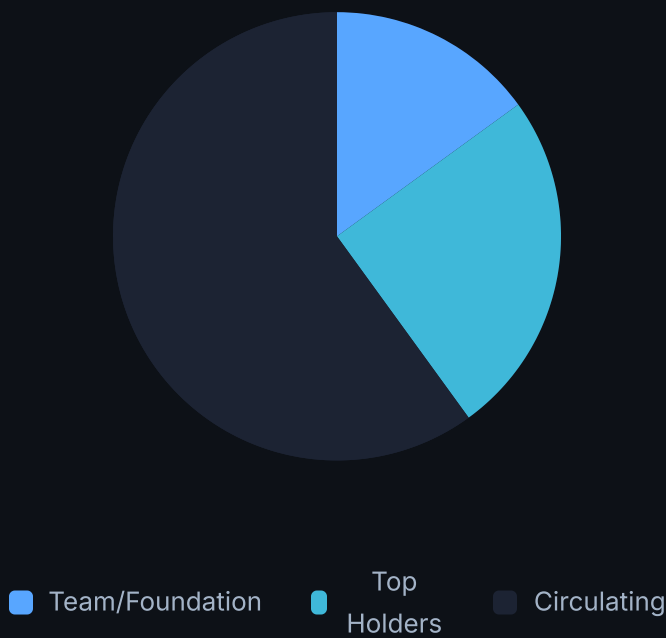
→ 0 last 4w

[→ View Repository on GitHub](#)

Aave V3 represents mature production-grade DeFi infrastructure deployed across 10+ blockchains with institutional-level security and reliability. The protocol has processed billions in lending volume without major exploits, demonstrating robust smart contract architecture.

Product suite includes traditional lending, GHO stablecoin, flash loans, and emerging RWA capabilities through Horizon platform. Mobile app launch

4. Holder & Whale Activity



i Institutional-grade holder distribution with 719K addresses supports price stability during corrections. The governance dispute saw record 1.8M voting power, demonstrating engaged stakeholder participation in protocol direction.

- > Circulating Supply: **15.19M**
- > Total Supply: **16.00M**
- > % Circulating: **95%**
- > Top 10 Holder Concentration: **~25-35%**
- > Exchange Reserve Trend: **Stable**
- > Next Token Unlock: **Check vesting schedule**
- > Team Vesting Status: **Ongoing**

TOTAL HOLDERS

719,175

ACTIVE (7D)

4,103

5. Seven Essential Metrics



Protocol Revenue

Moderate



TVL Growth

Moderate



Staking / Real Yield

Variable



Treasury Runway

Strong



Token Concentration

Moderate



Risk Score

Medium

Token Supply



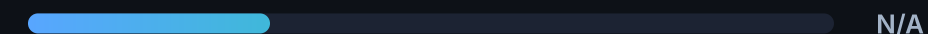
Circulating / Total

~95%

Valuation

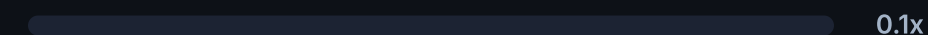
FDV / Revenue

~N/A



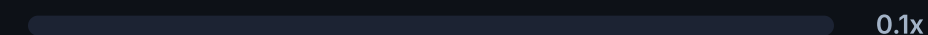
MC / TVL

~0.1x



FDV / TVL

~0.1x



AAVE demonstrates institutional DeFi leadership with \$27.5B TVL and comprehensive multi-chain lending infrastructure, yet faces execution headwinds from governance tensions and 34% monthly decline. Th

7. Revenue & Protocol Metrics

\$1.80M

Daily Fees

N/A

Daily Revenue

\$90.49M

30d Fees

N/A

7d Change

N/A

Competitor Comparison

Protocol	TVL	24h Revenue	30d Fees	TVL Change (7d)	MC/TVL
AAVE	\$27.50B	\$1.80M	\$90.49M	-4.9%	0.1x
COMP	\$1.29B	N/A	N/A	-2.6%	N/A
MKR	N/A	\$1.11M	\$33.79M	N/A	N/A
MORPHO	\$5.85B	\$301.98K	\$22.85M	-4.6%	N/A

8. Competitive Snapshot

AAVE maintains clear competitive advantages over rivals like Compound and MakerDAO through superior multi-chain deployment and institutional focus. The protocol's \$27.5B TVL dwarfs competitors while offering more diverse asset support.

Unlike MakerDAO's governance chaos, AAVE resolved recent tensions quickly. However, newer protocols like Morpho and Euler pose threats through improved capital efficiency and yield optimization.

Main Competitors

Compound

Original DeFi lending pioneer with smaller TVL but established brand

MakerDAO

DAI stablecoin focus with governance challenges, less multi-chain presence

Morpho

Next-gen capital efficiency threatening traditional lending models

✓ Competitive Advantages

- ✓ Dominant \$27.5B TVL scale
- ✓ Multi-chain institutional deployment
- ✓ Comprehensive product suite including stablecoins and RWAs

✗ Competitive Disadvantages

- ✗ Single founder dependency
- ✗ Governance execution risks

COMPETITIVE MOAT

Network effects from institutional adoption, regulatory compliance infrastructure, and multi-chain technical moats create defensible market position difficult for competitors to replicate

7. Business & Strategy Flash

AAVE operates a diversified DeFi lending model generating revenue through interest rate spreads, liquidation fees, and flash loan charges. The protocol's multi-chain strategy across Ethereum, Polygon, Avalanche, and others maximizes addressable market.

Revenue streams include traditional lending margins plus newer initiatives like GHO stablecoin and institutional RWA products. The Horizon platform targeting \$1B+ in tokenized assets represents significant monetization opportunity.

The 2026 roadmap focuses on three growth pillars: V4 technical upgrade, RWA expansion through Horizon, and mainstream mobile adoption. Partners like Circle, Ripple, and Franklin Templeton validate institutional RWA demand.

Mobile strategy through Aave App targets \$2T fintech market with 1M user goal. This consumer pivot complemented by continued institutional focus creates dual revenue streams for sustainable growth.

8. Monetary–Policy Sensitivity

! Rate Cut Impact

Rate cuts boost AAVE through increased DeFi lending demand and risk appetite, while making traditional savings less competitive versus protocol yields

AAVE benefits significantly from dovish monetary policy as lower rates drive institutional capital toward DeFi yields. The protocol's diversified asset base and stablecoin offerings provide defensive characteristics during rate volatility while maintaining upside sensitivity to crypto risk-on flows.

9. SWOT

Strengths

- Dominant \$27.5B TVL with institutional adoption
- Multi-chain deployment reducing concentration risk
- Proven governance model with engaged community

Opportunities

- RWA tokenization through \$1B+ Horizon platform
- Mobile fintech penetration targeting 1M users
- V4 upgrade enabling new asset classes and integrations

Weaknesses

- Recent governance tensions highlighting execution risk
- Zero development commits raising delivery concerns
- Heavy dependence on founder Stani Kulechov

Threats

- Rising competition from Morpho and newer protocols
- Regulatory uncertainty in multiple jurisdictions
- Smart contract risks from ambitious upgrade timeline

10. Risk Assessment

 Key Risks

-  V4 upgrade execution and security risks
-  Regulatory uncertainty across jurisdictions
-  Rising competition from capital-efficient protocols
-  Single-founder dependency on Stani Kulechov

Primary risks include smart contract vulnerability during V4 upgrade timeline and execution challenges from ambitious roadmap scope. Governance tensions, while recently resolved, highlight coordination risks between DAO and Aave Labs on strategic direction.

Regulatory uncertainty across multiple jurisdictions poses compliance risks, though recent SEC probe closure provides some clarity. Competition from newer protocols with superior capital efficiency threatens market share, requiring continuous innovation to maintain leadership.

Overall Risk

Medium

Regulatory Risk

Medium

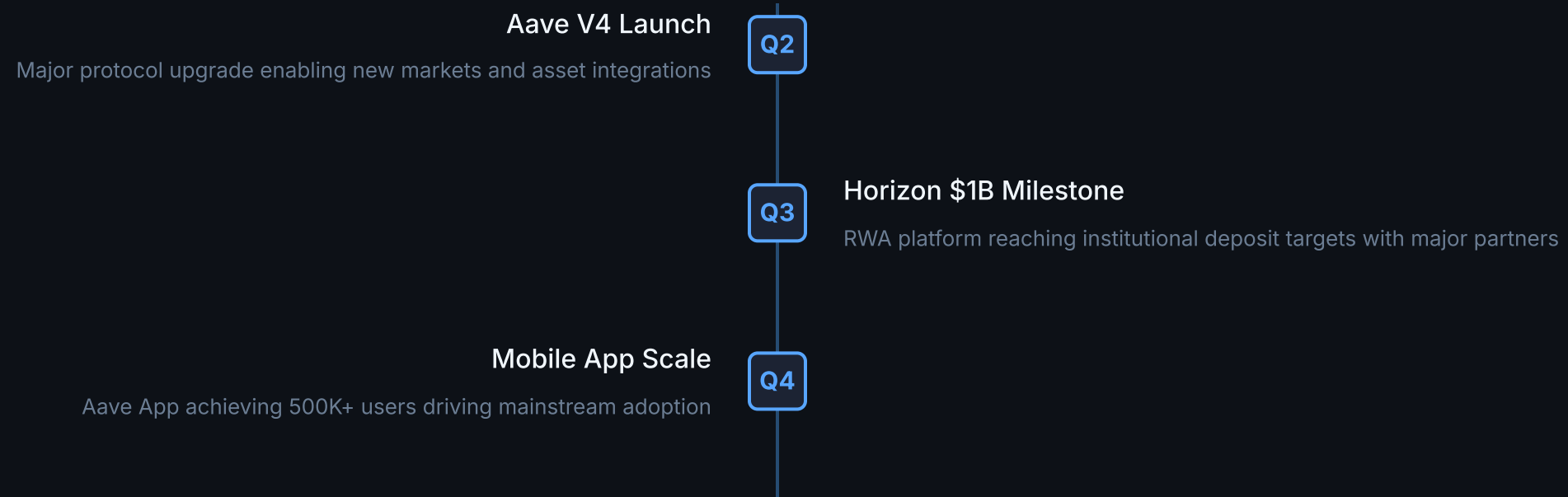
Technical Risk

Medium

Market Risk

Medium

11. Catalysts & Event Risks



The roadmap presents multiple value inflection points through 2026, with V4 upgrade as primary near-term catalyst. RWA growth and mobile adoption provide sustained momentum drivers.

12. Investment Signals

▲ KEY CATALYSTS (BULLISH)

- ▲ V4 upgrade expanding market opportunities
- ▲ RWA tokenization through major institutional partners
- ▲ Mobile app driving mainstream adoption

▼ KEY CONCERNS (BEARISH)

- ▼ Development activity pause raising delivery questions
- ▼ Competitive pressure from capital-efficient protocols
- ▼ Governance coordination risks with ambitious roadmap

13. Verdict + Technical Correlation

AAVE represents the premier institutional DeFi play with unmatched scale and strategic positioning for the next growth phase. While recent governance friction and development pause create near-term uncertainty, the protocol's dominant market position and ambitious roadmap justify significant upside potential.

The convergence of traditional finance through RWA tokenization and mainstream adoption via mobile presents a compelling dual-strategy approach. Current price levels below \$110 offer attractive risk-adjusted returns for patient institutional investors.

Key risks center on execution delivery and competitive pressure, but AAVE's established moat and experienced leadership provide confidence in navigating challenges. Target allocation represents core DeFi exposure with strong alpha potential.

Verdict

RATING

BUY

TARGET

**\$180-200 within 12
months as roadmap
execution accelerates**

TIME HORIZON

12 months

Report generated by Trading Command Center
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